Paradiem

The Morning Brief

AUGUST 7, 2026

Hormuz Twist

Oil rebids as Tehran signals the corridor deal won't fully reopen the strait; NFP and VST land together at 8:30 AM ET.

S&P 500	NASDAQ	BRENT (BNO)	CEG (PRE-MKT)	FEAR & GREED
$768.56 ↓0.16%	$714.65 ↓0.37%	$47.37 ↑4.32%	$282.50 ↑~6.56%	60 · Greed (CNN)

SECTION 01

Markets — Crude Rebids Ahead of the Print

OIL RECLAIMS A CHUNK OF THE WEEK'S GIVE-BACK

Thursday delivered a sharp reversal in the crude tape. WTI (USO) closed ↑3.47% at $118.87 and Brent (BNO) ↑4.32% at $47.37, unwinding a portion of the multi-session decline that had followed Treasury Secretary Bessent's 48-hour Hormuz framing per media reporting earlier in the week. The bid returned as Washington Post coverage reported Iranian officials clarifying that any Iran-Oman corridor arrangement would not represent a full reopening of the strait, and as Reuters flagged that vessel traffic through Hormuz had dwindled through the week even as headline diplomacy advanced. Energy (XLE) led sectors ↑1.48%, and the FCI energy sleeve responded in size, with CVX ↑1.51% at $189.23, CNX ↑1.71% at $35.13, and OKE ↑0.79% at $87.93.

CEG'S SPLIT REACTION

Constellation Energy (CEG) delivered the FCI dividend-sleeve print of the day with Q2 EPS of $2.55 versus $2.4459 consensus per data drop, and per Benzinga coverage raised full-year adjusted EPS guidance to $11.50–$12.50 (from $11.00–$12.00). The regular-session tape traded lower on the print — CEG closed ↓1.52% at $261.10 alongside Utilities (XLU) ↓0.64% and the broader AI-power unwind that has characterized the week (NEE ↓1.52% at $84.60, VST ↑0.57% at $141.38 as a modest exception). Per Benzinga, the pre-market tape reversed, with CEG trading ↑~6.56% to $282.50 as the guidance revision and the $860M Calpine asset divestiture per Seeking Alpha coverage moved to the front of the analyst commentary. The split reaction is consistent with tape rotations where the initial print is discounted before the underlying operating narrative reasserts.

WTI (USO)	$118.87 · ↑3.47% · Reversal day
BRENT (BNO)	$47.37 · ↑4.32% · Hormuz clarification bid
ENERGY (XLE)	$58.16 · ↑1.48% · Top sector
CEG	$261.10 · ↓1.52% close · Pre-Mkt ↑~6.56%
CEG FY26 GUIDE	$11.50–$12.50 · raised from $11.00–$12.00
GOLD (GLD)	$389.67 · Flat · Best wk since Jan per Reuters
TLT	$82.52 · ↓0.58% · Into NFP

THE RATE SETUP INTO NFP

TLT closed ↓0.58% at $82.52 into the July nonfarm payrolls release scheduled this morning at 8:30 AM ET per BLS calendar. Per Continuum Economics coverage, consensus centers near 80,000 (versus 57,000 in June), with the unemployment rate expected to hold near 4.2% and average hourly earnings running near ↑3.5% year-over-year. Per CME

FedWatch coverage, September remains firmly the base case for the first cut of the cycle. A material downside surprise — a print in the low-to-mid 40,000s or a rise in unemployment — would accelerate the front-end conversation into July; a print above 130,000 would soften the near-term cut path and pressure duration further. UVXY closed ↓2.27% at $21.56, suggesting the tape is positioned for the consensus outcome rather than either tail.

SEMI COMPLEX STABILIZES; MARA PRINT CONFIRMS OPERATING PRESSURE

Thursday delivered a partial retrace of the Wednesday semi drawdown. AMD closed ↑1.50% at $489.28, CRDO ↑2.58% at $230.43 as the top FCI mover on the session, QCOM ↑1.82% at $160.39, and TSM ↑1.01% at $418.20. NVDA held flat at $218.99 (↓0.10%) after leading through Wednesday's AMD drawdown. LRCX (↓0.54%) and MRVL (↓0.23%) still lagged, and NXPI (↑0.27%) traded through per Benzinga coverage of the Trump polysilicon tariff announcement. Separately, MARA closed ↓5.25% at $10.65 following its Q2 print of −$0.70 versus $0.1924 consensus per data drop; per Investing.com coverage, revenue fell ↓27% year-over-year to $175M versus $208M expected, with the company outlining a strategic pivot toward digital infrastructure spanning AI, power generation, and IT infrastructure alongside traditional mining. HUT ↓2.27% traded in sympathy.

A crude reversal ahead of the labor print is the tape saying it hadn't fully priced a partial-corridor Hormuz outcome. **The physical world matters.**

SECTION 02

Geopolitics — The Corridor, Not the Reopening

IRAN CLARIFIES WHAT THE FRAMEWORK ACTUALLY CONTAINS

Per Washington Post coverage of Wednesday and Thursday statements, Iran characterized any Iran-Oman arrangement as governing a designated commercial corridor through the Strait of Hormuz rather than a full reopening. Per NPR and Al Jazeera coverage, the geographic coordinates for the corridor have been agreed, with commercial vessels expected to enter the Persian Gulf via an Iranian-controlled route and exit via an Oman-controlled route in exchange for service fees. The framing shift matters: the market had priced the two-phase Trump framework (Hormuz reopens first, then nuclear talks resume) as a fuller unwinding of the disruption, and the corridor construction leaves meaningful physical friction intact. That is the tape behind Thursday's crude reversal. Per Reuters coverage, vessel traffic through Hormuz dwindled through the week even as diplomatic headlines advanced — a divergence that supports the crude bid.

SAUDI–TURKEY–PAKISTAN DEFENSE PACT

Per Reuters headlines captured in the data drop, Saudi Arabia, Turkey, and Pakistan are set to sign a joint defense deal amid regional turmoil. The tri-lateral construction is a notable regional signal: it groups two of the largest Sunni-majority military powers with the primary Gulf hydrocarbon exporter into a formal arrangement at precisely the moment the Iran-Hormuz negotiations move from framework toward operational detail. If taken at face value, the pact would tighten regional deterrence posture beyond the bilateral US security guarantees that have anchored Gulf state security architecture for decades. For the FCI defense sleeve (LMT ↑0.91% at $582.85, GD ↑0.74% at $386.92), the read is directional support for long-cycle order flow from the Gulf and adjacent theaters, though the specific procurement composition remains to be disclosed.

POLYSILICON TARIFF ENTERS THE AI-SUPPLY-CHAIN FRAME

Per Yahoo Finance and Nikkei Asia coverage, the Trump administration announced a 15% tariff and minimum-price floor on imports of polysilicon-derived products, effective December 4 — positioned after the November midterms and a scheduled September Trump-Xi summit. Chinese producers hold approximately 96% of global polysilicon capacity, the raw material for both solar wafers and semiconductor substrates. The delayed effective date reads as a negotiating marker rather than an immediate cost input for the FCI semi and utility exposure. For NXPI (↑0.27%) and the broader FCI semi complex, direct pass-through is limited given established alternative supply chains; for the AI-power sleeve (VST, CEG, NEE), the read is neutral to constructive as domestic solar economics face additional support at the margin. Chinese solar equities moved sharply in both directions on the announcement per Bloomberg coverage.

SECTION 03

On Our Radar

1. July Nonfarm Payrolls — 8:30 AM ET. The July employment situation release lands at 8:30 AM ET per BLS calendar. Consensus per Continuum Economics coverage centers near 80,000 (versus 57,000 in June), with the unemployment rate expected to hold near 4.2% and average hourly earnings running near ↑3.5% year-over-year. Per CME FedWatch coverage, September remains firmly the base case for the first cut of the cycle. The composition matters as much as the headline: an in-line print with softer wages would keep the Fed reaction function unchanged; a print materially below 50,000 or a rise in unemployment would accelerate the front-end conversation into July; a print above 130,000 would soften the near-term cut path.

2. VST Pre-Market Print. Vistra (VST) reports Q2 pre-market this morning with consensus per data drop centering near $1.80 EPS. The company's live call is scheduled for 10:00 AM ET per StockTitan coverage. VST closed ↑0.57% at $141.38 Thursday, and per Stock Market Watch pre-market data was quoted ↑~2.93% at $147.00 heading into the print. VST is the AI-power sleeve's primary Q2 earnings catalyst; the CEG guidance revision Thursday sets a supportive backdrop, but VST's regulatory posture and merchant exposure in ERCOT introduce a distinct risk composition. Watch the initial commentary on 2027 hedge book positioning and any color on incremental hyperscaler PPA activity.

3. Oil Positioning Into the Weekend. WTI (USO) ↑3.47% and Brent (BNO) ↑4.32% Thursday closed the physical setup on a bid heading into a weekend where Iran-Oman coordinates are set but the operational rollout remains undisclosed. Per Reuters coverage, gold is on track for its best week since January and the dollar is set for a weekly gain, both of which are consistent with a market re-hedging geopolitical risk into a two-day window with no equity liquidity. The FCI energy sleeve (CVX ↑1.51%, CNX ↑1.71%, OKE ↑0.79%) carried the tape Thursday; a headline-driven Sunday-Monday gap remains a live risk in both directions.

4. CEG's Beat-and-Raise Pre-Market Reversal. Constellation Energy (CEG) closed ↓1.52% at $261.10 despite the Q2 beat ($2.55 vs $2.4459) and the full-year guidance raise to $11.50–$12.50 per Benzinga coverage; the pre-market tape reversed cleanly with the stock quoted ↑~6.56% at $282.50. Per Seeking Alpha coverage, the announced $860M Calpine asset divestiture is a discrete accretion event that has re-anchored the analyst narrative overnight. The regular-session reaction Thursday reflected the broader Utilities weakness (XLU ↓0.64%) rather than a company-specific read; the pre-market tape restores the operating narrative. For FCI, CEG remains the flagship dividend-sleeve read on the AI-power thesis.

5. MARA Confirms the Miner Distress; HUT in Sympathy. Marathon Digital (MARA) closed ↓5.25% at $10.65 following its Q2 print of −$0.70 versus $0.1924 consensus per data drop; per Investing.com coverage, revenue fell ↓27% year-over-year to $175M against $208M expected, with a −$611M net loss driven per company commentary primarily by Bitcoin holdings mark-to-market rather than mining operations. Management outlined a strategic pivot toward digital infrastructure spanning AI, power generation, and IT infrastructure. HUT closed ↓2.27% at $90.65 in sympathy. For the FCI growth-sleeve digital-mining exposure, the print consolidates the read that the current Bitcoin-price backdrop is stress-testing the mining business model in real time.

6. Carson's SPY $645.80 Support Remains Active. Per levels.json, Carson's active SPY support at $645.80 remains untouched through Thursday's $767.46–$771.82 S&P 500 intraday range, and sits approximately 16% below the current tape. No active resistance levels are on the book following the April 14 breakout of the $691.90–$693.20 major zone. With Hormuz negotiations moving to operational detail, oil bid, CEG guidance raised, MARA in distress, and NFP + VST landing together at 8:30–10:00 AM ET, the pre-committed deployment discipline (70% of reserves at −25% drawdown, remaining 30% at −40%) continues to frame reactive positioning against any single Friday tape signal.